

You are a financial analyst evaluating 2 different companies X and Y.

Balance Sheet of company A and B

<u>Assets</u>	<u>Company X</u>	<u>Company Y</u>
Current Assets		
Cash	\$50,000	\$80,000
Inventory	\$40,000	\$70,000
Accounts Receivable	\$100,000	\$250,000
Fixed Assets		
Property	\$400,000	\$450,000
Others	\$60,000	\$50,000
Total	\$650,000	\$900,000

Liabilities		
Current Liabilities		
Accounts Payable	\$100,000	\$150,000
Short Term Loans	\$80,000	\$70,000
Long Term Liabilities	\$300,000	\$500,000
Capital	\$170,000	\$180,000
Total	\$650,000	\$900,000

Income Statement of company A and B

<u>Item</u>	<u>Company A</u>	<u>Company B</u>
Sales	\$300,000	\$500,000
Cost of Goods Sold	\$140,000	\$200,000
Gross Profit	\$160,000	\$300,000
Selling and Distribution Expenses	\$50,000	\$60,000
Earning Before Interest and Tax (EBITDA)	\$110,000	\$240,000
Depreciation	\$10,000	\$12,000
Earning Before Interest and Tax (EBIT)	\$100,000	\$228,000
Interest	\$10,000	\$18,000
Earning Before Tax	\$90,000	\$210,000
Taxes	\$18,000	\$42,000
Net Income	\$72,000	\$168,000

Perform the Ratio Analysis to evaluate the following ratios and comment on which company performs better on each of these parameters.

1. Liquidity Ratios

Current Ratio

Quick Ratio

2. Profitability Ratio

Operating Profitability

Net Profit

Return on Capital Employed

3. Turnover Ratios

Inventory Turnover

Payable Turnover (assume 50% of the Cost of Goods sold are purchases)

Receivables Turnover

4. Solvency Ratios

Debt to Equity Ratio

Financial Leverage